

One governance gap repeating six times, not six expensive contractors.

A ~\$230M contractor programme was billing roughly \$5–6M a year above the assessment benchmark. The cause was not who held the work but the absence of rate-book enforcement — so replacing contractors would have reproduced it.

INDUSTRY Energy & utilities — electric distribution	ENGAGEMENT CONTEXT Consulting · large US investor-owned utility	ROLE Independent commercial assessment (pre-RFP)	DURATION 6 weeks
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THE SITUATION

- A five-year renewal of overhead-construction contracts was approaching, on a rate book five years out of date.
- Ambiguous work descriptions and time-based billing made the exposure real but unquantified.
- Spend ran across 482 rate-book items and six contractors; the diagnosis had to find the few that mattered.

MY CONTRIBUTION

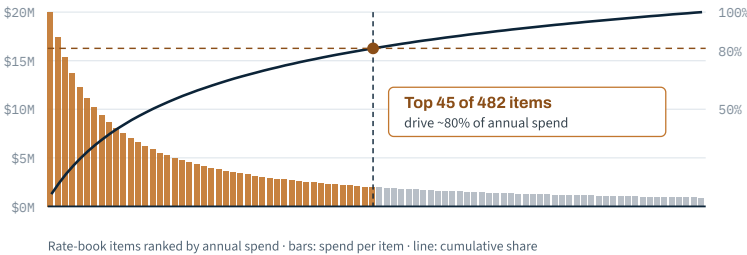
Led the assessment end to end: analysed ~565,000 transactions from twelve months of approved spend, quantified above-market billing, isolated its structural root cause, and converted it into a five-pillar contracting framework tied to the RFP critical path.

THE JUDGMENT THAT MATTERED

A rate comparison only holds when the work and its units are genuinely comparable. Weighting each contractor's rates by its own volumes, and keeping the finding as one integrated opportunity, stopped it being split into individually deniable line items.

EXHIBIT 1 45 of 482 rate-book items drive ~80% of spend

Pareto of the ~\$230M annual portfolio

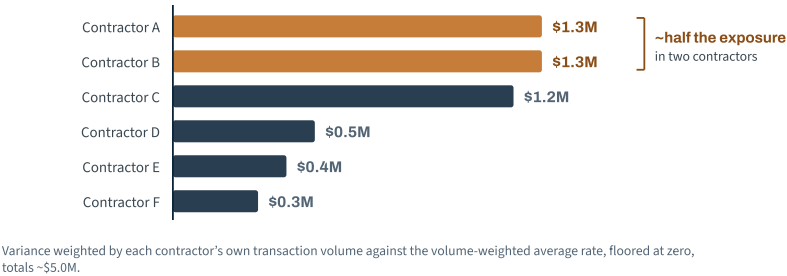


SO WHAT

The governance problem is concentrated — 45 items, not 482 — which makes it fixable inside one renewal cycle rather than overwhelming.

EXHIBIT 2 The same billing pattern appears in all six contractors

Unit-billing variance vs volume-weighted average rate, \$M



SO WHAT

The two largest carry about half the exposure, but the driver is absent rate enforcement. Any replacement contractor would repeat the pattern.

WHAT THE WORK DELIVERED

A ~\$5–6M annual opportunity, addressable through one structural lever: rate-book enforcement.

A costly contractor reshuffle avoided — it would not have fixed the cause.

An RFP-ready toolkit: five-pillar contract framework, work-description standard and pricing template.

HEADLINE

~\$5–6M

a year above benchmark — about 2–3% of annual contractor spend

Sources. Twelve months of client-approved contractor spend: ~565,000 transactions across ~\$230M, 482 rate-book items and six contractors. Variance weighted by each contractor's own transaction volume against the volume-weighted average rate, floored at zero. **Anonymisation & basis.** Client, supplier and peer identities withheld. Outcome figures are rounded from engagement results; exhibit internals are indexed or illustrative and show the analytical structure, not client data.

The supply-chain team wasn't oversized. Its load sat on managers, with no execution layer beneath them.

Headcount ratios would have called this function efficient. Assessing workload role by role showed a lean structure carrying ~70% more spend per FTE than the peer median, with no planning function and no headroom for the growth it was asked to absorb.

INDUSTRY	ENGAGEMENT CONTEXT	ROLE	DURATION
Energy & utilities — regulated electric & gas	Consulting · US energy utility	Organisational benchmarking & operating model	12 weeks

THE SITUATION

- Leadership needed to know whether the supply-chain organisation could support current spend and planned growth.
- Raw headcount comparisons would obscure real differences in role scope and functional coverage.
- The goal was a fact base for workforce decisions, not a headcount verdict in either direction.

MY CONTRIBUTION

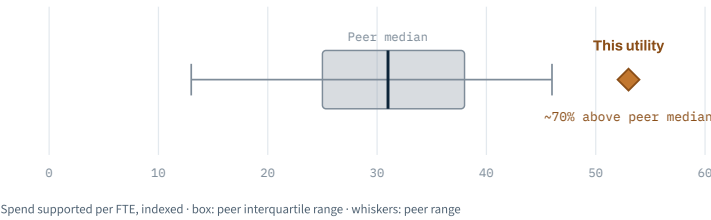
Led the assessment across structure, roles and capacity: defined the peer framework, normalised spend and headcount by workload, clustered roles by capability rather than title, and translated the findings into structural implications.

THE JUDGMENT THAT MATTERED

High spend per person can mean a lean organisation or an overloaded one, and the two call for opposite responses. Reading the number alongside scope and how execution work was distributed turned a benchmark into a recommendation.

EXHIBIT 1 The utility supports more spend per FTE than any peer

Peer distribution, indexed

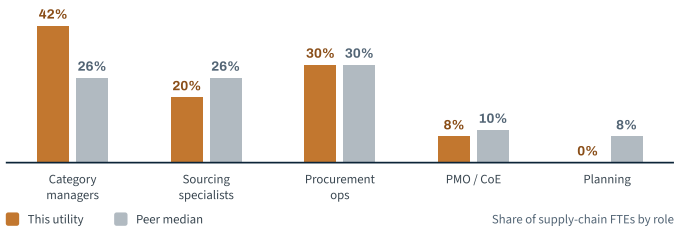


SO WHAT

Beyond the top of the peer range: evidence of a lean, broad-scope structure, not an over-resourced one.

EXHIBIT 2 Capacity is concentrated in manager roles, over a thin execution layer

Illustrative mix, this utility vs peer median



SO WHAT

Managers hold a far larger share of capacity than peers, enablement is thin, and planning has no dedicated FTE: the two structural gaps.

WHAT THE WORK DELIVERED

A structured fact base on supply-chain sizing relative to peers, usable directly in workforce planning.

Two structural gaps identified: lean enablement and no standalone planning function.

A prioritised reinforcement roadmap, de-risked through a single-region pilot with tracked KPIs.

HEADLINE

~70%

more spend per FTE than the peer median — no headroom for growth

Sources. Client function and role-level spend and FTE data, normalised by workload (assets served, spend under management) and clustered by delivered capability rather than job title, benchmarked against comparable regulated utilities. Anonymisation & basis. Client, supplier and peer identities withheld. Outcome figures are rounded from engagement results; exhibit internals are indexed or illustrative and show the analytical structure, not client data.

The negotiable gap was never in the labour rates — it sat in overhead and margin.

A field-services renewal was set to roll forward historical rates. Rebuilding the supplier’s economics from the cost drivers up moved the negotiation onto what the service should cost, and secured ~£2M a year with the incumbent retained.

INDUSTRY Telecommunications	ENGAGEMENT CONTEXT In-house category ownership · BT Group	ROLE Category & sourcing manager — renewal and negotiation	DURATION 6 months
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THE SITUATION

- A multi-year regional service-delivery contract was nearing renewal with no refreshed cost baseline.
- Rates had been accepted for years without visibility of the supplier’s cost build-up.
- Pressing a regional incumbent too hard would put field-service delivery at risk.

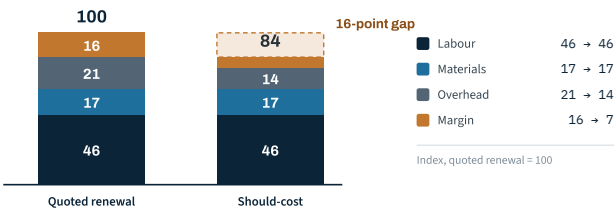
MY CONTRIBUTION

Led the renewal end to end: built the should-cost model from first principles, priced the total cost of mobilisation, travel, service credits and rework, set the negotiation strategy and walk-away position, and led the supplier negotiation to close.

THE JUDGMENT THAT MATTERED

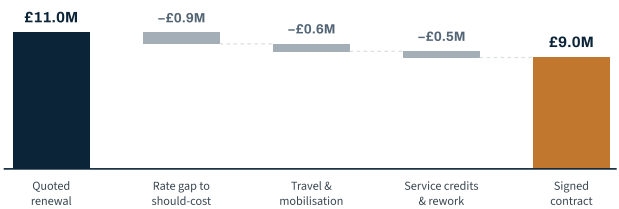
The negotiation that mattered was total service economics, not the headline day rate. A lower rate means little if mobilisation or rework push cost back up, so the ask was sequenced to take the margin gap while protecting continuity.

EXHIBIT 1 Labour and materials matched; the 16-point gap sat in overhead and margin Indexed annual cost by element



SO WHAT
Overhead and margin sat 16 points above a defensible build-up, which made the gap negotiable rather than a market price to accept.

EXHIBIT 2 Four levers took the contract from £11.0M to £9.0M a year £M, annual contract value, rounded



SO WHAT
The rate move took roughly the margin gap (~9 of 16 points), leaving overhead to protect continuity. The rest came from costs the day rate hides.

WHAT THE WORK DELIVERED

~£2M a year locked into the renewed contract, with the incumbent retained and delivery uninterrupted.

Total-cost visibility across rates, travel, mobilisation, service levels and rework.

A defensible should-cost baseline left with the team to anchor the next renewal cycle.

HEADLINE
~£2M
a year — about 18% of annual contract value

Sources. Should-cost model built from first principles — labour and productivity, materials, overhead recovery, fair margin — indexed to the quoted renewal = 100. Total-cost build covers rates, mobilisation, travel, service credits and rework. BT Group named as engagement context; the supplier is withheld. **Anonymisation & basis.** Client, supplier and peer identities withheld. Outcome figures are rounded from engagement results; exhibit internals are indexed or illustrative and show the analytical structure, not client data.

Matching each CapEx category to its own supply market turned scattered tenders into ~\$4M of savings.

A large upstream capital programme was bought package by package, leaking leverage at every award. Managing it as three categories, each with its own sourcing posture, delivered ~\$4M of CapEx savings and a governance model embedded in the client’s own team.

INDUSTRY Oil & gas — upstream E&P	ENGAGEMENT CONTEXT Consulting · Accenture · upstream E&P operator	ROLE CapEx category & sourcing lead	DURATION 12 months
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THE SITUATION

- A large upstream capital programme was sourced project by project, each package tendered in isolation.
- With no category strategy or aggregated demand view, leverage against a concentrated contractor base was limited.
- Any consolidation had to keep technical, quality and schedule requirements intact.

MY CONTRIBUTION

Within Accenture’s team, led CapEx sourcing and category management: built strategies for EPC, surface facilities and drilling & completions, aggregated demand across projects, ran sourcing from qualification to award, and embedded category governance in the client’s team.

THE JUDGMENT THAT MATTERED

Leverage came from the structure of the process as much as the size of the package. A concentrated market does not reward a longer bidder list; it rewards disciplined stage-gates — so each category earned its own contracting approach.

EXHIBIT 1 Three categories, three supply markets, three sourcing postures

Share of the managed capital programme



One programme, three supply markets — and therefore three sourcing approaches.

SO WHAT

EPC dominates the programme and earns the most structured competition; smaller categories are better served by frame agreements than a full re-tender each cycle.

EXHIBIT 2 What changed: from package-by-package buying to category management

Before and after

	Before	After
Unit of sourcing	Each package tendered alone	Category managed across projects
Demand view	Project by project	Aggregated across the programme
Competition	One tendering formula for all	Posture matched to each supply market
Suppliers	Transactional, award by award	Frame agreements and managed routines
Ownership	Project teams	Category governance in the client's team

SO WHAT

The savings came from the process, not a longer bidder list: stage-gated competition where the market is concentrated, frames where volume repeats.

WHAT THE WORK DELIVERED

~\$4M in CapEx savings across the managed sourcing portfolio.

Category strategies for EPC, surface facilities and drilling & completions, replacing project-by-project buying.

Category playbooks and supplier-management routines embedded with the in-house team.

HEADLINE

~\$4M

CapEx savings delivered

Sources. Managed capital programme segmented into sourcing categories and sized by share of programme value. No split of the ~\$4M saving across categories is implied. Accenture named as engagement context; the E&P client is withheld. **Anonymisation & basis.** Client, supplier and peer identities withheld. Outcome figures are rounded from engagement results; exhibit internals are indexed or illustrative and show the analytical structure, not client data.

Half of E-STATCOM cost sits in supply-constrained inputs — so secure it early, don’t tender it late.

Fragmented market, supplier and spend information was rebuilt into one decision-ready view of the category. Decomposing cost and lead time into their real drivers showed why it rewards partnership and early commitment over aggressive competitive tendering.

INDUSTRY	ENGAGEMENT CONTEXT	ROLE	DURATION
Energy & utilities — grid power electronics	Consulting · large US investor-owned utility	Category intelligence & executive briefing	8 weeks

THE SITUATION

- The utility was building a category-intelligence capability; E-STATCOM — grid power electronics with integrated storage — was a priority.
- Supplier data, market intelligence, commodity trends and spend analytics lived separately.
- There was no structured view to support sourcing, capital planning and grid-stability investment.

MY CONTRIBUTION

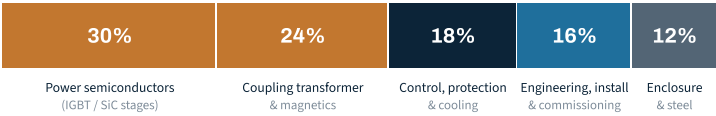
Built the category-intelligence report end to end on one framework — market structure, spend, supplier concentration, cost model, commodity exposure, lead time, contracting approach and KPIs — and iterated the executive summary until every statement was fact-based.

THE JUDGMENT THAT MATTERED

The shift that mattered was from describing a market to saying what procurement should do about it: cost broken into its commodity and manufacturing inputs, and lead time separated into critical-path components rather than quoted as an average.

EXHIBIT 1 Roughly half of installed cost rides on supply-constrained inputs

Share of installed E-STATCOM cost



Supply-constrained: semiconductors allocated into 2027; copper-intensive magnetics with copper above \$14,000/t through 2026.

SO WHAT

Price rides on inputs the supplier cannot fully control — an argument for locking contract length and production slots, not squeezing the quote.

EXHIBIT 2 Tendering late versus committing early

Sourcing posture compared

	Tender late	Commit early
Production slots	Go to whoever committed first	Reserved ahead of need
Price	Spot exposure to semiconductors and copper	Quotes challenged on the inputs that move price
Supplier pool	Few qualified OEMs, stretched thin	A chosen partner with capacity planned
Schedule	Long lead lands on the critical path	Lead time absorbed before the project starts

SO WHAT

In a strategic category — few qualified OEMs, long lead, grid-critical — positioning drives contract length as much as it drives price.

WHAT THE WORK DELIVERED

One intelligence base: market structure, supplier landscape, cost drivers and lead-time exposure in one comparable frame.

A differentiated posture: partner and commit early, with production slots secured ahead of need.

An executive-ready briefing that aligned procurement and engineering ahead of the sourcing decisions.

HEADLINE

~50%

of installed cost in supply-constrained inputs — the case for committing early

Sources. Cost shares from published cost-structure and commodity sources (accessed Sept 2026): semiconductor allocation into 2027; copper above \$14,000/t through 2026. Anonymisation & basis. Client, supplier and peer identities withheld. Outcome figures are rounded from engagement results; exhibit internals are indexed or illustrative and show the analytical structure, not client data.